

Amrit Malwa Capital Limited

September 09, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	50.00	CARE BBB; Stable	Reaffirmed
Non-convertible debentures	MCA	25.00	CARE BBB; Stable	Reaffirmed
Non-convertible debentures	MCA	30.00	CARE BBB; Stable	Reaffirmed
Non-convertible debentures	MCA	45.00	CARE BBB; Stable	Reaffirmed
Non-convertible debentures	SEBI	25.00	CARE BBB; Stable	Assigned

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has assigned the long-term rating of 'CARE BBB; Stable' and reaffirmed ratings towards long-term bank facilities and instruments of Amrit Malwa Capital Limited (AMCL). Ratings consider its adequate capitalisation metrics backed by regular capital infusion from promoters and experienced promoter and management team with a track record of operations in two-wheeler financing. CareEdge Ratings expects the company will need to raise further capital in the near-to-medium term to support its growth plans, while maintaining adequate capitalisation profile.

However, ratings are constrained by AMCL's moderate earnings profile and asset quality with operational risk linked to high cash-based collections. CareEdge Ratings also notes its track record in electric vehicles (EV) and three-wheeler financing is limited, and hence, performance in these segments will remain monitorable. Ratings are further constrained by its geographical concentration with top three states accounting ~79% overall loan book as on June 30, 2026, and higher portfolio vulnerability considering relatively marginal income borrower profile with lending almost entirely to rural borrowers. Ratings are also constrained by its concentrated funding profile and high cost of borrowing of AMCL compared to its peers operating in similar segment. Going forward, the company's ability to increase its scale of operations while maintaining asset quality remains a key rating monitorable.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Substantially growing loan portfolio while maintaining profitability.
- Maintaining comfortable asset quality metrics with credit cost below 1.5%.
- Sizable equity raises improving gearing position.

Negative factors

- Deteriorating asset quality stress with gross non-performing asset (GNPA) rising above 5%.
- Weakening profitability, asset quality, and/or AMCL's capitalisation profile with gearing rising above 6x.
- Significant lack of scaling up in the loan book in the medium term.
- Capital adequacy ratio (CAR) below 20% on a sustained basis.

Analytical approach:

Standalone

Outlook: Stable

The stable outlook reflects CareEdge Ratings' expectations that the company will continue to grow its operations while maintaining asset quality and diversity in the portfolio.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strength

Adequate capitalisation

The company's tangible net worth (TNW) increased to ₹131.50 crore as on March 31, 2026 (₹134.52 crore in June 30, 2026) from ₹109.31 crore as on March 31, 2025, supported by regular capital infusion and internal accruals. The company raised ₹84.8 crore since inception, of which ₹16 crore in FY25 and ₹15 crore in FY26. Its capitalisation remained adequate with capital adequacy ratio (CAR) of 29.76% and gearing of 3.13x as on June 30, 2026 (CAR of 28.31% and gearing 3.32x, respectively, as on March 31, 2026), against 23.98% and 4.27x, respectively, as on March 31, 2025. CareEdge Ratings expects the company will need to raise further capital in the near-to-medium term to support its growth plans, while maintaining adequate capitalisation profile.

Key weaknesses

Moderate scale with geographical concentration

The company reported assets under management (AUM) of ₹713 crore as on March 31, 2026 (₹710 crore in June 2026), compared to ₹704 crore as on March 31, 2025, registering a growth of ~1% in FY26. A major share of AMCL's AUM pertains to two-wheeler financing with ~66% share as on June 30, 2026, followed by three-wheeler financing (22%), loans against property (LAP; 11%) and remaining portfolio comprises personal loan and used car segment. CareEdge Ratings expects product mix to remain similar in the near-to-medium term with two/three-wheeler contributing majority share in the AUM.

Its operations are geographically concentrated, with Punjab constituting 55% gross loan portfolio as on June 30, 2026, followed by Rajasthan and Himachal Pradesh forming another 16% and 11%, respectively, and Uttar Pradesh (10%), and Chandigarh, Haryana, Uttarakhand, and Madhya Pradesh constituting the remaining portfolio. CareEdge Ratings expects AMCL to operate in similar geography in the medium term, where it plans to expand its market presence by opening new branches.

Moderate asset quality

While AMCL's GNPA improved in FY26 to 1.31% as on March 31, 2026 (1.49% in June 2026), from 3.37% as on March 31, 2025, the same was largely considering write-offs and sale to ARC in FY26. Gross stress (NPA + security receipts + repossessed assets) for AMCL increased to 7.24% as on March 31, 2026, from 6.70% as on March 31, 2025. While the entity is carrying adequate provision of ~28% on its GNPA as on March 31, 2026 (~28% in June 2026), its ability to make recoveries from stressed book and contain incremental slippages will remain key monitorable.

Moderate financial profile

The company's earnings profile remains moderate as it reported a profit after tax (PAT) of ₹9.38 crore translating to return on total assets (RoTA) of 1.39% and return on net worth (RONW) of 7.79% in FY26 compared to ₹9.1 crore, 1.43% and 9.25%, respectively, in FY25. In Q1FY27, AMCL reported PAT of ₹3.03 crore, translating into annualised RoTA and RoNW of 1.86% and 9.11%, respectively. While the company's profitability has been stable, within a narrow range of 1-2% in the last five financial years, the company's ability to further improve its profitability, while maintaining credit cost remains a key monitorable.

AMCL's funding profile also remains concentrated. While it has active relations with lenders, the same largely comprise non-banking financial companies (NBFCs) comprising 66% in its overall funding mix as on March 31, 2026. Hence, its cost of funds for AMCL is also relatively higher compared to its peers in similar segment. The company's ability to diversify funding mix, onboard banks and reduce its cost of funds will be important for its financial profile.

Portfolio vulnerability considering marginal income profile borrowers and high operational risk due to cash-based collections

The company provides finance for new two-wheeler and three-wheeler purchases, and majority borrowers are either labourers working on larger farmlands, or small farmers, using vehicles for farming, local commute, and other business activities. Loans are advanced primarily to low-income, self-employed individuals or people working in the informal sector with majority being first borrowers. Considering lower-income borrower profile and untested credit customer, potential portfolio vulnerability remains relatively high. However, the loan book is secured against hypothecation of underlying vehicles, which mitigates risk to some extent. Its collections are majorly cash-based, which exposes the company to higher risk. CareEdge Ratings notes that, to counter this risk, AMCL's management started electronic collection systems (ECS) in all states except Punjab.

Liquidity: Adequate

AMCL's liquidity remained adequate with cash and bank balance of ₹72 crore and undrawn sanction lines of ₹9 crore, as on June 30, 2026. Per its asset liability management (ALM) dates June 30, 2026, it has debt obligations of ₹420 crore due over next one year against scheduled collections of ₹386 crore.

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Non Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non banking financial company (NBFC)

Incorporated on June 24, 1987, AMCL is a limited company providing finance for purchasing two-wheelers and operates in rural locations through a network of 64 branches across Punjab, Himachal Pradesh, Rajasthan, Haryana, Uttarakhand, Uttar Pradesh, Madhya Pradesh, and Chandigarh. In May 2018, one NBFC entity of the Amrit Group, Malwa Ludhiana Motor Finance Limited, was merged in another entity, Amrit Hire Purchase Limited, and the name was changed to AMCL. The company also created a core investment company (CIC) in FY19 to consolidate and streamline AMCL's shareholding pattern and increase the promoter stake. Subsequently, new equity infusion in AMCL is now solely done through CIC. As on June 30, 2025, AMCL had AUM of ~₹710 crore with over 1.2 lakh active clients. AMCL is promoted by Ajit Pal Singh, who owned 14.12% shareholding in the company, and promoters collectively owned 85.88% shareholding as on June 30, 2026.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	June 30, 2026 (UA)
Total income	130.67	147.54	30.76
Profit after tax (PAT)	9.09	9.38	3.03
Assets under management (AUM)	704.32	713.15	710.65
On-book gearing (x)	4.27	3.32	3.13
AUM / tangible net-worth (TNW) (x)	6.44	5.42	5.28
Gross non-performing assets (NPA) / gross stage 3 (%)	3.53	1.31	1.49
Return on managed assets (ROMA) (%)	1.16	1.05	1.35
Capital adequacy ratio (CAR) (%)	23.58	28.31	29.76

A: Audited; UA: Unaudited

Status of non-cooperation with previous CRA:

Not Applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non Convertible Debentures	MCA	Simple	INE03XB08323	12-Aug-2025	14	15-Dec-2028	30.00	CARE BBB; Stable
Debentures-Non Convertible Debentures	SEBI	Simple	Proposed	-	NA	-	25.00	CARE BBB; Stable
Debentures-Non Convertible Debentures	MCA	Simple	Proposed	01-Mar-2025	NA	31-Mar-2025	12.50	CARE BBB; Stable
Debentures-Non Convertible Debentures	MCA	Simple	INE03XB07580	18-Mar-2025	13	27-Sep-2026	12.50	CARE BBB; Stable
Debentures-Non Convertible Debentures	MCA	Simple	Proposed	-	-	-	45.00	CARE BBB; Stable
Fund-based - LT-Term Loan	RBI	Simple	-	-	-	20-Dec-2029	50.00	CARE BBB; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	50.00	CARE BBB; Stable	1)CARE BBB; Stable (03-Sep-26)	1)CARE BBB; Stable (08-Jan-26) 2)CARE BBB; Stable (24-Jul-25)	1)CARE BBB; Stable (19-Mar-25) 2)CARE BBB; Stable (31-Jan-25) 3)CARE BBB; Stable (30-Apr-24)	1)CARE BBB; Stable (06-Feb-24)
2	Fixed Deposit	LT	-	-	-	-	1)Withdrawn (30-Apr-24)	1)CARE BBB; Stable (06-Feb-24)
3	Debentures-Non-convertible debentures	LT	-	-	-	-	-	1)Withdrawn (06-Feb-24)
4	Debentures-Non-convertible debentures	LT	-	-	-	-	1)Withdrawn (19-Mar-25) 2)CARE BBB; Stable (31-Jan-25) 3)CARE BBB; Stable (30-Apr-24)	1)CARE BBB; Stable (06-Feb-24)
5	Debentures-Non-convertible debentures	LT	-	-	-	1)Withdrawn (24-Jul-25)	1)CARE BBB; Stable (19-Mar-25) 2)CARE BBB; Stable (31-Jan-25) 3)CARE BBB; Stable (30-Apr-24)	1)CARE BBB; Stable (06-Feb-24)
6	Debentures-Non-convertible debentures	LT	-	-	1)Withdrawn (03-Sep-26)	1)CARE BBB; Stable (08-Jan-26) 2)CARE BBB; Stable (24-Jul-25)	1)CARE BBB; Stable (19-Mar-25) 2)CARE BBB; Stable (31-Jan-25) 3)CARE BBB; Stable	1)CARE BBB; Stable (06-Feb-24)

							(30-Apr-24)	
7	Debentures-Non-convertible debentures	LT	25.00	CARE BBB; Stable	1)CARE BBB; Stable (03-Sep-26)	1)CARE BBB; Stable (08-Jan-26) 2)CARE BBB; Stable (24-Jul-25)	1)CARE BBB; Stable (19-Mar-25)	-
8	Debentures-Non-convertible debentures	LT	30.00	CARE BBB; Stable	1)CARE BBB; Stable (03-Sep-26)	1)CARE BBB; Stable (08-Jan-26) 2)CARE BBB; Stable (24-Jul-25)	-	-
9	Debentures-Non-convertible debentures	LT	45.00	CARE BBB; Stable	1)CARE BBB; Stable (03-Sep-26)	-	-	-
10	Debentures-Non-convertible debentures	LT	25.00	CARE BBB; Stable				

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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